

Notes: Graham, Lemmon, and Wolf (JF, 2002)

Does Corporate Diversification Destroy Value?

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1 One-sentence summary

Graham, Lemmon, and Wolf argue that much of the measured diversification discount is not caused by diversification destroying value; rather, diversified firms often acquire or contain already discounted business units, so benchmarking conglomerate divisions to typical stand-alone firms can mechanically overstate value destruction.

2 Big picture

2.1 Research question

The paper asks whether corporate diversification itself destroys value or whether the commonly documented diversification discount reflects selection: firms that become divisions of conglomerates may already be low-value businesses before they are combined with other firms.

2.2 Why the question matters

A large prior literature measures the value of conglomerates by comparing each segment to stand-alone firms in the same industry. If the stand-alone benchmark is inappropriate, then the diversification discount can be misinterpreted as causal value destruction.

2.3 Core empirical idea

The authors examine firms that diversify through mergers and acquisitions and firms that increase their reported number of segments. They ask whether the drop in measured excess value can be explained mechanically by the fact that targets or new segments have low excess values before being incorporated.

2.4 Main finding

Acquiring firms' measured excess values decline after acquisition, but targets are already discounted before acquisition. In the M&A sample, almost all of the decline in acquirer excess value can be traced to adding already discounted targets. Segment-increasing firms show a larger decline, but about half of that decline can still be attributed to this mechanical selection effect.

2.5 Takeaway

The paper does not claim that diversification never destroys value. It shows that the standard excess-value method is vulnerable to selection bias, and therefore the observed conglomerate discount should not be directly interpreted as the causal effect of diversification.

3 Incremental contribution of the paper

3.1 Reinterpreting the diversification discount

The paper challenges the standard reading of the conglomerate discount. Prior evidence showed that diversified firms trade at a discount relative to imputed segment values. Graham, Lemmon, and Wolf show that this discount can arise even when combining firms does not destroy value, because the added units themselves may be discounted before acquisition.

3.2 Direct evidence from acquisitions

The authors use publicly traded targets in mergers and acquisitions to observe the market value of the acquired business before it becomes part of the acquirer. This is a key empirical advance because it allows the paper to test whether targets were already discounted before diversification.

3.3 Separating mechanical valuation effects from value destruction

The paper constructs a projected post-acquisition excess value. The projected value combines the acquirer’s pre-acquisition value with the target’s pre-acquisition value, without assuming any value creation or destruction from the merger. Comparing the projected and actual changes reveals how much of the measured decline is mechanical.

3.4 Linking M&A evidence to segment-reporting evidence

The paper also studies firms that increase the number of reported segments. This connects the acquisition-level evidence to the broader literature, which typically defines diversification as a move from single-segment to multisegment reporting.

3.5 Correcting a benchmark problem

The central methodological contribution is to show that stand-alone firms may not be valid benchmarks for conglomerate divisions. The paper therefore reframes the diversification discount as partly a benchmark-selection problem.

4 Data and measurement

4.1 Excess value definition

The paper follows Berger and Ofek’s excess value methodology. For firm i , excess value is the logarithm of actual firm value relative to imputed value:

$$EV_i = \log \left(\frac{\text{Actual value}_i}{\text{Imputed value}_i} \right).$$

Imputed value is obtained by applying median industry valuation multiples to segment-level sales or assets:

$$\text{Imputed value}_i = \sum_{s \in i} \text{SegmentSales}_{is} \times \text{Median}(\text{SalesMultiple})_{\text{industry}(s)}.$$

The same construction is used with asset multipliers.

Interpretation: A positive excess value means that the firm is valued above the benchmark portfolio of stand-alone firms. A negative excess value means that the firm appears discounted relative to that benchmark.

4.2 M&A sample

The M&A sample contains 356 completed acquisitions from 1980 to 1995 in which both acquirer and target are publicly traded and have enough Compustat segment data to compute excess values. The authors observe acquirer and target values before the acquisition and acquirer values after the acquisition.

Interpretation: This sample is powerful because it directly observes the value of the unit before it is absorbed. It avoids inferring the division’s value only from stand-alone industry peers.

4.3 Segment-increasing sample

The segment-increasing sample contains firms that move from one reported segment to more than one segment. Some segment increases come from acquisitions; others come from internal expansion or reporting changes.

Interpretation: This sample connects the acquisition analysis to the traditional diversification literature, where diversification is usually defined using the number of reported business segments.

4.4 Timing convention

The paper defines $t = -1$ as the last full fiscal year before acquisition or segment increase, $t = 0$ as the acquisition or transition year, and $t = +1$ as the first full fiscal year after the event.

Interpretation: The paper avoids using year 0 because accounting data in the transition year can mix pre-event and post-event activity and is often not a clean full-year measurement window.

4.5 Projected change in excess value

The paper constructs a projected post-event excess value, P_{+1} , based only on the pre-event excess values of the acquirer and target. The projected change is:

$$P_{+1} - EV_{-1}.$$

The actual change is:

$$EV_{+1} - EV_{-1}.$$

The unexplained component is:

$$EV_{+1} - P_{+1}.$$

Interpretation: If the actual change equals the projected change, then the measured decline is explained by adding a low-value target rather than by value destruction from diversification.

5 Empirical specification and tests

5.1 Announcement return evidence

The paper first notes that combined market reactions to acquisition announcements are positive. This is important because if acquisitions are value destroying, one might expect a negative total announcement return for acquirer plus target.

Interpretation: A positive combined announcement return is hard to reconcile with the claim that the act of combining firms mechanically destroys value, although it does not by itself prove that all mergers create value.

5.2 Excess-value event window

The core event-window comparison is:

$$\Delta EV = EV_{+1} - EV_{-1}.$$

The paper measures this separately using sales multipliers and asset multipliers, and separately for full samples and subsamples.

5.3 Projection regression

The main regression asks whether projected changes explain actual changes:

$$EV_{+1} - EV_{-1} = \alpha + \beta(P_{+1} - EV_{-1}) + \varepsilon.$$

If the mechanical selection explanation is correct, then:

$$\alpha = 0, \quad \beta = 1.$$

Interpretation: The regression is a direct test of whether the predicted mechanical decline is an unbiased predictor of the observed decline.

5.4 Indicator-augmented regression

The paper also estimates:

$$EV_{+1} - EV_{-1} = \alpha + \beta(P_{+1} - EV_{-1}) + \lambda I_i + \varepsilon_i,$$

where I_i indicates relatedness or segment increase.

Interpretation: If related acquisitions or segment-increasing acquisitions destroy additional value, the indicator coefficient should be significantly negative after controlling for the projected mechanical change.

6 Identification and empirical design

6.1 Identification problem

The standard diversification-discount literature compares conglomerate segments to stand-alone firms. This comparison assumes that the divisions of conglomerates would be valued like median stand-alone firms in the same industry if operated independently.

Interpretation: The paper argues that this assumption can fail. If low-value firms are more likely to be acquired and become divisions, then conglomerate segments are not comparable to average stand-alone firms.

6.2 M&A design

The M&A design observes target firms before they are absorbed. This allows the authors to ask whether the target was already discounted prior to acquisition.

Interpretation: The key identifying comparison is not diversified versus stand-alone firms in the cross-section. It is the observed value of the actual target before acquisition versus the acquirer's measured value after acquisition.

6.3 Mechanical projection design

The projected excess-value calculation constructs a counterfactual in which the acquirer simply adds the target’s existing value without creating or destroying any additional value.

Interpretation: If this counterfactual matches the actual post-acquisition excess value, the observed decline does not require a causal value-destruction interpretation.

6.4 Segment-increase design

The segment-increasing sample tests whether the same logic applies to firms that become multisegment in the Compustat data. It also separates acquisitions from pure reporting changes.

Interpretation: The finding that pure reporting changes do not produce a large value decline is important because it suggests that simply reporting more segments is not enough to generate a diversification discount.

6.5 Limitations

The design does not fully identify whether all remaining unexplained decline is causal value destruction. It also relies on the accuracy of segment reporting and industry multipliers. But it sharply weakens the inference that the full diversification discount is caused by diversification itself.

7 Tables and figures

7.1 Figure 1: Timing conventions for measuring the change in excess values; Table I: Example of Negative Excess Value with No Value Destruction

Read: Figure 1 defines the event window from $t = -1$ to $t = +1$. Table I shows a simple numerical example in which an acquirer buys a discounted target and total market value is conserved, yet the combined firm appears to have negative excess value.

Economic message: The figure and table explain the paper’s central logic: the excess-value method can create an apparent diversification discount even when no value is destroyed.

Detailed interpretation: Table I is the paper’s intuition-building example. If the target’s stand-alone market value is below its imputed benchmark value, then adding that target pulls down the acquirer’s measured excess value. The method may then falsely attribute the target’s preexisting discount to the act of diversification.

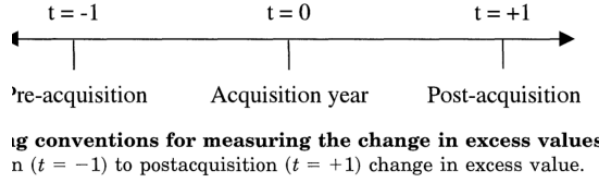


Figure 1: Timing convention. The visual fixes $t = -1$, $t = 0$, and $t = +1$.

Table I
Example of Negative Excess Value with No Value Destruction
This table shows how acquiring target Firm T could affect Firm A's excess value. By construction, total market value is conserved so no market value is destroyed. The benchmark represents the median market-to-sales ratio of single-segment same-industry firms.

	Firm A	Firm T	Combination
Sales ^a	100.00	65.00	165.00
Market value	115.00	70.00	185.00
Benchmark market-to-sales ratio	1.15	1.25	
Imputed value	115.00	81.25	196.25
Excess value	0.000	-0.15 ^b	-0.06 ^c

^a This could be book value of assets if an asset multiplier is used.

^b Excess value is calculated as $\ln[70/(65 \cdot 1.25)] = \ln[70/81.25] = -0.15$.

^c Excess value is calculated as $\ln[(115 + 70)/(100 \cdot 1.15 + 65 \cdot 1.25)] = -0.06$.

Table I: mechanical negative excess value without value destruction.

Figure 1 and Table I. The pair shows the empirical window and the benchmark-selection problem that motivates the paper.

7.2 Table II: Excess Values for Acquirers; Table III: Excess Values for Targets and Relative Sizes of Acquisitions

Read: Table II shows that acquirers' excess values fall after acquisitions. Table III shows that targets are already discounted before acquisition and are economically large enough to affect the acquirer's measured value.

Economic message: The two tables jointly show why the simple post-acquisition decline in acquirer excess value is not enough to prove that diversification destroys value.

Detailed interpretation: Table II reports a mean sales-multiple excess-value decline of about 6.9 percent for acquirers. Table III reports mean target excess value of about -10.2 percent using sales multipliers. Since the target is about one quarter of the combined firm by sales, adding the target mechanically reduces measured excess value.

Table II
Excess Values for Acquirers

This table reports excess values for the year prior to and the year following the acquisition. The sample consists of 356 firms that completed acquisitions between 1980 and 1995 with sufficient data to calculate excess values as defined in Berger and Ofek (1995). Acquisitions are classified as related when the acquirer and target firms share a four-digit SIC code prior to the acquisition. Acquisitions are classified as segment increasing if the number of reported segments is greater at $t = +1$ than at $t = -1$. Differences ($EV_{+1} - EV_{-1}$) are the firm-specific differences from period $t = -1$ to period $t = +1$. Panel A reports results for the full sample. Panels B through E examine subsamples. Statistical significance for means is based on Robust-Cluster standard errors and statistical significance for medians is based on the Wilcoxon sign-rank test.

	Sales Multiplier		Asset Multiplier	
	Mean	Median	Mean	Median
Panel A: Full Sample (356 firms)				
EV_{-1}	0.1402***	0.1103***	0.0753**	0.0214***
EV_{+1}	0.0709**	0.0614***	0.0183	-0.0334
$EV_{+1} - EV_{-1}$	-0.0693***	-0.0435***	-0.0570***	-0.0379***
Panel B: Related Acquisition (130 firms)				
EV_{-1}	0.1749***	0.1026***	0.0712**	0.0255**
EV_{+1}	0.0705	0.0000***	-0.0198	-0.0378
$EV_{+1} - EV_{-1}$	-0.1044***	-0.0775***	-0.0909***	-0.0847***
Panel C: Unrelated Acquisition (226 firms)				
EV_{-1}	0.1203**	0.1185***	0.0776**	0.0173**
EV_{+1}	0.0711	0.0730**	0.0402	-0.0327
$EV_{+1} - EV_{-1}$	-0.0492*	-0.0162	-0.0374*	-0.0169
Panel D: No Segment Increase (299 firms)				
EV_{-1}	0.1525***	0.1230***	0.0920***	0.0410***
EV_{+1}	0.0971***	0.0833***	0.0345	-0.0207
$EV_{+1} - EV_{-1}$	-0.0554**	-0.0313**	-0.0576***	-0.0378***
Panel E: Segment Increase (57 firms)				
EV_{-1}	0.0974	0.0912	-0.0126	-0.0193
EV_{+1}	-0.0554	-0.0855*	-0.0665***	-0.0918***
$EV_{+1} - EV_{-1}$	-0.1528**	-0.1210***	-0.0539	-0.0381

*, **, and *** indicate significantly different from zero at the 10, 5 and 1 percent levels, respectively.

Table II: acquirer excess values before and after acquisition.

Table III
Excess Values for Targets and Relative Sizes of Acquisitions

This table reports excess values of target firms in the year prior to being acquired. The sample consists of 356 firms that were acquired between 1980 and 1995 with sufficient data to calculate excess values as defined in Berger and Ofek (1995). The excess value is based on the last stock price available prior to the date the target is delisted. The relative size of the acquisition is the ratio of the target's sales (assets) to the combined sales (assets) of the target and acquirer at the end of the year preceding the acquisition. Acquisitions are classified as related when the acquirer and target firms share a four-digit SIC code prior to the acquisition. Acquisitions are classified as segment increasing if the number of reported segments is greater at $t = +1$ than at $t = -1$. Panel A reports results for the full sample while Panels B through E examine subsamples. Statistical significance for means is based on Robust-Cluster standard errors and statistical significance for medians is based on the Wilcoxon sign-rank test.

	Sales Multiplier		Asset Multiplier	
	Mean	Median	Mean	Median
Panel A: Full Sample (356 firms)				
EV_{-1}	-0.1016***	-0.0768***	-0.0120	-0.0268
Relative size	0.2487	0.2121	0.2273	0.1774
Panel B: Related Acquisition (130 firms)				
EV_{-1}	-0.2058***	-0.1489***	-0.0765**	-0.0681***
Relative size	0.2941	0.2697	0.2654	0.2362
Panel C: Unrelated Acquisition (226 firms)				
EV_{-1}	-0.0417	-0.0325	0.0251	0.0000
Relative size	0.2226	0.1577	0.2053	0.1446
Panel D: No Segment Increase (299 firms)				
EV_{-1}	-0.1055***	-0.0840***	-0.0138	-0.0260
Relative size	0.2308	0.1902	0.2125	0.1578
Panel E: Segment Increase (57 firms)				
EV_{-1}	-0.0812	-0.0768	-0.0024	-0.0401
Relative size	0.3425	0.2966	0.3048	0.2654

** and *** indicate significantly different from zero at the five and one percent levels, respectively.

Table III: target excess values and relative sizes.

Tables II and III. Acquirer discounts after the event are linked to the acquisition of already discounted targets.

7.3 Table IV: Actual and Projected Changes in Excess Values for Acquirers; Table V: Relation Between Projected and Actual Excess Values

Read: Table IV compares actual and projected changes in acquirer excess value. Table V regresses actual changes on projected changes.

Economic message: The mechanical projection explains almost all of the observed decline in the M&A sample. This is the paper's central empirical result.

Detailed interpretation: In Table IV, the actual sales-multiple change is -6.93 percent and the projected change is -7.38 percent; the difference is only 0.45 percent. Table V shows the regression coefficient on the projected change is close to one, and the intercept is close to zero. This supports the claim that target selection accounts for the measured decline.

Table IV
Actual and Projected Changes in Excess Values for Acquirers
This table reports changes in excess values from the year prior to the acquisition to the year following the acquisition. The sample consists of 356 firms that completed acquisitions between 1980 and 1995 with sufficient data to calculate excess values as defined in Berger and Ofek (1995). Statistical significance for means is based on Robust-Cluster standard errors and statistical significance for medians is based on the Wilcoxon sign-rank test.

	Sales Multiplier		Asset Multiplier	
	Mean	Median	Mean	Median
Full Sample (356 firms)				
Actual change ($EV_{+1} - EV_{-1}$)	-0.0693***	-0.0435***	-0.0570***	-0.0380***
Projected change ($P_{+1} - EV_{-1}$)	-0.0738***	-0.0176***	-0.0326***	-0.0087***
Difference ($EV_{+1} - P_{+1}$)	0.0045	-0.0133	-0.0244	-0.0168

*** indicates significantly different from zero at the one percent level.

Table IV: actual versus projected changes.

Tables IV and V. The projected mechanical change is nearly an unbiased predictor of the actual excess-value change.

7.4 Table VI: Relation Between Projected and Actual Excess Values with Indicators; Table VII: Excess Values for Firms That Increase the Number of Reported Segments

Read: Table VI adds relatedness and segment-increase indicators to the projection regression. Table VII studies firms that increase the number of reported segments.

Economic message: Table VI shows that relatedness and segment-increase indicators do not explain much once the projected mechanical change is controlled for. Table VII shows that segment-increasing firms experience larger measured declines, especially when segment increases are associated with acquisitions.

Detailed interpretation: Table VII is the bridge to the broader diversification-discount literature. Segment-increasing firms look more like the traditional multisegment sample, and their measured discount is larger. But Table VI implies that much of the decline in the acquisition sample is still explained by the value of what is added.

Table V
Relation Between Projected and Actual Excess Values
This table reports regression results examining how well the projected excess values actually predict the ex post excess value. The sample consists of 356 firms that completed acquisitions between 1980 and 1995 with sufficient data to calculate excess values as defined in Berger and Ofek (1995). The regression model is:

$$(EV_{+1} - EV_{-1}) = \alpha + \beta(P_{+1} - EV_{-1})$$

where EV_{+1} is the actual ex post excess value, P_{+1} is the projected ex post excess value, and EV_{-1} is the ex ante excess value. Robust-Cluster standard errors are presented in parentheses. P -values for the null hypotheses that $\alpha = 0$ and $\beta = 1$ are reported in brackets.

	Adj. R^2	Intercept	Coefficient on Projected Change ($P_{+1} - EV_{-1}$)
Actual change in sales multiplier ($EV_{+1} - EV_{-1}$)	0.2636	0.0039 (0.0190) [0.839]	0.9968 (0.1192) [0.979]
Actual change in asset multiplier ($EV_{+1} - EV_{-1}$)	0.1516	-0.0238 (0.0165) [0.170]	1.0231 (0.1044) [0.827]

Table V: regression of actual on projected changes.

Table VI

Relation Between Projected and Actual Excess Values

This table reports regression results examining how well the projected excess values predict actual ex post excess value. The sample consists of 356 firms that completed acquisitions between 1980 and 1995 with sufficient data to calculate excess values as defined in Berger and Ofek (1995). The regression models are:

$$(EV_{+1} - EV_{-1}) = \alpha + \beta(P_{+1} - EV_{-1}) + \lambda I(\cdot)$$

where EV_{+1} is the actual ex post excess value, P_{+1} is the projected ex post excess value, EV_{-1} is the ex ante excess value, and $I(\cdot)$ is an indicator variable for relatedness or segment increase. The relatedness indicator equals one if the acquisition is classified as related. The segment increase indicator equals one when the acquisition results in an increase in the number of reported business segments. Robust-Cluster standard errors are presented in parentheses. P -values for the null hypotheses that $\alpha = 0$ and $\beta = 1$ and $\lambda = 0$ are reported in brackets.

	Adj. R^2	Intercept	Coefficient on Projected Change ($P_{+1} - EV_{-1}$)	Coefficient on Indicator Variable $I(\cdot)$
Panel A: Relatedness Indicator				
Actual change in sales multiplier ($EV_{+1} - EV_{-1}$)	0.2620	0.0110 (0.0261) [0.678]	0.9937 (0.1173) [0.958]	-0.0200 (0.0353) [0.579]
Actual change in asset multiplier ($EV_{+1} - EV_{-1}$)	0.1517	-0.0127 (0.0206) [0.545]	1.0118 (0.1039) [0.911]	-0.0313 (0.0267) [0.260]
Panel B: Segment Increase Indicator				
Actual change in sales multiplier ($EV_{+1} - EV_{-1}$)	0.2637	0.0126 (0.0237) [0.603]	0.9907 (0.1237) [0.941]	-0.0579 (0.0541) [0.302]
Actual change in asset multiplier ($EV_{+1} - EV_{-1}$)	0.1500	-0.0196 (0.0179) [0.290]	1.0296 (0.1040) [0.780]	-0.0254 (0.0303) [0.415]

Table VI: projected-change regressions with indicators.

Table VII
**Excess Values for Firms That Increase
the Number of Reported Segments**

This table reports excess values for the year prior to and the year following the first year in which more than one segment is reported. The sample consists of 225 firms that changed from reporting one segment in year $t = -1$ to reporting more than one segment in years $t = 0$ and $t = +1$. Excess values are calculated as defined in Berger and Ofek (1995). Differences ($EV_{+1} - EV_{-1}$) are the firm-specific differences from period $t = -1$ to period $t = +1$. Panel A reports results for the full sample while Panels B through D examine subsamples. Statistical significance for means is based on Robust-Cluster standard errors and statistical significance for medians is based on the Wilcoxon sign-rank test.

	Sales Multiplier		Asset Multiplier	
	Mean	Median	Mean	Median
Panel A: Full Sample (225 firms)				
EV_{-1}	0.0472	0.0000	0.0323	0.0000
EV_{+1}	-0.0899**	-0.0708***	-0.0481*	-0.0811***
$EV_{+1} - EV_{-1}$	-0.1371***	-0.0707***	-0.0870***	-0.0397***
Panel B: No Acquisition (84 firms)				
EV_{-1}	0.0418	0.0000	-0.0022	0.0029
EV_{+1}	-0.0230	-0.0093	-0.0389	-0.0688
$EV_{+1} - EV_{-1}$	-0.0648	-0.0158	-0.0387	-0.0195
Panel C: Unrelated Acquisitions (124 firms)				
EV_{-1}	0.0330	0.0000	0.0464	-0.0080
EV_{+1}	-0.1326**	-0.1075***	-0.0598*	-0.0874**
$EV_{+1} - EV_{-1}$	-0.1656***	-0.0852***	-0.1063***	-0.0416**
Panel D: Related Acquisitions (17 firms)				
EV_{-1}	0.1778	0.0860	0.1781*	0.0080
EV_{+1}	-0.1085	-0.0324	-0.0074	-0.0511
$EV_{+1} - EV_{-1}$	-0.2863**	-0.2216***	-0.1855**	-0.1793***

*, **, and *** indicate significantly different from zero at the 10, 5, and 1 percent levels, respectively.

Table VII: excess values for segment-increasing firms.

Tables VI and VII. The segment-increase evidence connects the M&A analysis to the standard conglomerate-discount literature.

7.5 Table VIII: Excess Values for Single-segment Firms That Are Removed from COMPUSTAT Because of Merger or Acquisition; Table IX: Regressions of Actual Changes in Excess Value on Projected Changes for Segment-increasing Firms

Read: Table VIII shows that single-segment firms removed from Compustat because of merger or acquisition have negative excess values before removal. Table IX uses projected changes to explain actual changes for segment-increasing firms.

Economic message: The same selection logic appears outside the exact M&A sample. Firms that disappear into other firms are often already discounted, and this helps explain the measured discount after segment increases.

Detailed interpretation: Table VIII provides the benchmark for new segments when the actual target cannot be identified. Table IX shows that projected changes explain a significant portion of the actual segment-increase discount, but not all of it. Thus the paper concludes that benchmark selection explains a large part, but not necessarily all, of the diversification discount.

Table VIII
Excess Values for Single-segment Firms That Are Removed from COMPUSTAT Because of Merger or Acquisition

This table reports excess values for the three years before the firm was removed from COMPUSTAT due to merger or acquisition. The sample consists of 653 firms that are removed from the COMPUSTAT active tapes because of merger or acquisition over the period 1984 to 1995. Excess values are calculated as defined in Berger and Ofek (1995). Statistical significance for means is based on Robust-Cluster standard errors and statistical significance for medians is based on the Wilcoxon sign-rank test.

	Sales Multiplier		Asset Multiplier	
	Mean	Median	Mean	Median
EV_{-3}	-0.0574***	-0.0511***	-0.0020	-0.0056
EV_{-2}	-0.1251***	-0.1131***	-0.0408***	-0.0386***
EV_{-1}	-0.1596***	-0.1601***	-0.0593***	-0.0526***

*** indicates significantly different from zero at the one percent level.

Table VIII: excess values for single-segment firms removed by M&A.

Table IX
Regressions of Actual Changes in Excess Value on Projected Changes in Excess Value for Segment-increasing Firms

This table reports regression results examining how well the projected excess values predict the ex post excess value. The sample consists of 124 firms that changed from reporting one segment at year $t = -1$ to reporting more than one segment during years $t = 0$ and $t = +1$ as the result of an unrelated acquisition. Excess values are calculated as defined in Berger and Ofek (1995). The regression model is

$$(EV_{+1} - EV_{-1}) = \alpha + \beta(P_{+1} - EV_{-1})$$

where EV_{+1} is the actual ex post excess value, P_{+1} is the projected ex post excess value, and EV_{-1} is the ex ante excess value. Robust-Cluster standard errors are presented in parentheses. P -values for the null hypotheses that $\alpha = 0$ and $\beta = 1$ are reported in brackets.

	Adj. R^2	Intercept	Coefficient on Projected Change ($P_{+1} - EV_{-1}$)
Actual change in sales multiplier ($EV_{+1} - EV_{-1}$)	0.3304	-0.0926 (0.0363) [0.029]	0.8192 (0.0647) [0.0191]
Actual change in asset multiplier ($EV_{+1} - EV_{-1}$)	0.3265	-0.0783 (0.0257)	0.6797 (0.2179)

Table IX: projected changes for segment-increasing firms.

Tables VIII and IX. The selection-bias mechanism also appears in the segment-increasing sample.

8 Short summary

- Prior literature interprets the conglomerate discount as evidence that diversification destroys value.
- Graham, Lemmon, and Wolf argue that the benchmark comparison can be biased.
- Acquirers' excess values fall after acquisitions.
- Targets are already discounted before acquisition.
- The projected mechanical effect of adding discounted targets explains almost all of the M&A sample decline.
- Segment-increasing firms show larger measured declines, but a large share is still explained by selection.
- Pure reporting changes do not generate the same value decline.
- The paper reframes the diversification discount as partly a selection and benchmarking problem.

9 Conclusion

9.1 Core conclusion

The paper concludes that measured reductions in excess value around diversification events do not necessarily imply that diversification destroys value. In the M&A sample, the decline in acquirer excess value is largely explained by the acquisition of already discounted targets.

9.2 Economic intuition

If a target firm trades below the imputed value assigned by median industry multiples, adding it to another firm mechanically reduces the acquirer's measured excess value. This decline can occur even if the merger conserves or creates total market value. The problem is not only the event; it is the benchmark used to value the added business.

9.3 Incremental contribution revisited

The paper's main contribution is to introduce selection bias into the diversification-discount debate. Instead of taking the stand-alone firm as the correct counterfactual for a conglomerate division, it asks whether the actual businesses that become divisions are systematically different from stand-alone benchmarks.

9.4 Implications for corporate finance

The results suggest caution in interpreting the conglomerate discount as evidence for internal capital market inefficiency, agency costs, or value-destroying diversification. Some of the discount may reflect the kinds of businesses firms acquire or absorb.

9.5 Limitations

The paper does not prove that diversification never destroys value. Segment-increasing firms still show some unexplained decline in excess value. The analysis also depends on segment reporting and industry multiple benchmarks. But it clearly shows that the full diversification discount cannot be interpreted as a causal diversification effect.

9.6 Takeaway

The central lesson is methodological: before concluding that a corporate policy destroys value, one must ask whether the benchmark comparison is valid. In this case, the apparent cost of diversification partly reflects the preexisting low value of the assets being diversified into the firm.